

Question 1: Benefits and Drawbacks of Cross-Functional Teams (CFTs)

Benefits of Cross-Functional Teams

1. Better Decision-Making

Different departments share their knowledge and ideas, helping the company make better decisions.

Simple Example:

Finance, marketing, and engineering together choose the best supplier.

2. Faster Problem Solving

Problems can be solved quickly because experts from different departments work together.

Simple Example:

A supplier joins the meeting and immediately answers technical questions.

3. Improved Communication

Departments communicate and understand each other better.

Simple Example:

Purchasing and production teams coordinate properly to avoid delivery delays.

4. More Innovation and Creativity

Different viewpoints create new and better ideas.

Simple Example:

Marketing suggests attractive packaging while engineering improves product quality.

5. Better Coordination Between Departments

All departments work toward the same company goal.

Simple Example:

Logistics and procurement teams work together to ensure materials arrive on time.

Drawbacks of Cross-Functional Teams

1. Conflicts Between Members

Members from different departments may disagree.

Simple Example:

Finance wants low cost, but marketing wants expensive packaging.

2. Lack of Proper Leadership

Weak leaders may not control the team effectively.

Simple Example:

The team leader does not stop arguments during meetings.

3. Time-Consuming Meetings

Meetings and travel take a lot of time and money.

Simple Example:

Employees travel from different cities for a one-day meeting.

4. Difficulty in Performance Evaluation

Managers may not fairly judge team work.

Simple Example:

An employee works hard for the team but receives poor appraisal from the manager.

Question 2: Five Issues/Concerns and Recommendations

1. Lack of Leadership Skills

The team leader could not control conflicts and arguments between members.

Simple Example:

Marketing and finance members fought during a meeting, but the leader stayed silent.

Recommendation:

Provide leadership and conflict-management training to team leaders.

2. Poor Communication and Team Conflicts

Members from different departments had misunderstandings and disagreements.

Simple Example:

Finance wanted cheaper packaging while marketing wanted premium packaging.

Recommendation:

Conduct teamwork and communication training programs.

3. Team Decisions Not Respected by Management

Management ignored the team's supplier selection decision.

Simple Example:

The team selected a new supplier, but management forced them to choose the old supplier.

Recommendation:

Give teams proper authority and management support.

4. Unclear Performance Evaluation

Managers evaluated team members differently for the same effort.

Simple Example:

Two employees worked equally on a project but received different ratings.

Recommendation:

Create a fair team-based performance evaluation system.

5. Lack of Commitment and Participation

Members slowly lost interest in meetings and teamwork.

Simple Example:

Monthly meetings became quarterly meetings because members were busy and travel costs increased.

Recommendation:

Reduce unnecessary travel, maintain balanced team size, and motivate members regularly.

Other Issues Mentioned in the Case

- Fear of sharing information with suppliers
- Too many team members
- Too few team members
- Travel expenses
- Lack of enthusiasm
- Lack of innovation

- Untrained team members
- Managers not valuing team work
- Incompetent members in teams
- Blaming teams for supplier problems
- Poor coordination between plant and corporate employees
- Competition between team members
- Lack of measurable goals
- Lack of trust among members
- Reduced meeting frequency
- Functional managers interfering in team decisions
- Stress and frustration among members
- Resistance to change
- Poor support from senior management
- Weak relationships among team members